UNIT 8 – Investments and Loans

Main Questions

Question 1 (C1) (3M) (June 2023 Old PQ) (June 2017 Old PQ)

Mr X a director of ABC Ltd. He has approached Housing Finance Co. Ltd. for the purpose of obtaining a loan of INR 50 lakhs to be issued for construction of building of his residential house. The loan was sanctioned subject to the condition that ABC Ltd. should provide the guarantee for the repayment of loan instalments by Mr. X. Advise Mr. X.

Answer

According to section 185 of the Companies Act, 2013, No company shall, directly or indirectly, advance any loan, including any loan represented by a book debt Or give guarantee or provide any security in connection with any loan taken by, any director of the company or of a company which is its holding company or any partner or relative of such director or any firm in which any such director or relative is a partner.

Thus, Mr. X is not allowed for loans of ₹ 50 Lakhs against guarantee by the company ABC Ltd.

Question 2 (C2) (3M) (Dec 2022 Old PQ)

XYZ Ltd. is an investment company whose principal business is an acquisition of shares and debentures of other companies. The following figures were derived from the books of XYZ Ltd.:

Assets:	
Investment in shares and debenture	₹ 95 lakhs
Other Assets	₹ 105 lakhs
Total	₹ 200 lakhs
Income:	
Income from investment business	₹ 12 lakhs
Other Income	₹ 18 lakhs
Total	₹ 30 lakhs

(i) Whether the company is an investment company as per section 186 and eligible to claim exemption given there under?

(ii) The Board of Directors of XYZ Ltd. is considering the proposal for making the investment in ABC Ltd. The company has 5 directors on Board and in the Board Meeting 4 directors were present, three of them gave the consent to the proposal and one director abstained from voting. Comment on the same.

Answer

(i) As per the explanation given under Section 186 of the Companies Act, 2013, an investment company means a company whose principal business is the acquisition of shares, debentures or other securities.

A company will be deemed to be principally engaged in the business of acquisition of shares, debentures or other securities, if its assets in the form of investment in shares, debentures or other securities constitute not less than 50% of its total assets, or if its income derived from investment business constitutes not less than 50% of its gross income.

In light of the above explanation, the assets of XYZ Ltd. in form of Investment in shares or debentures is less than 50% of the total assets of the company and also the income derived from the investment business is less than 50% of the total Income of the company. Hence, either of the two conditions need to be satisfied to make an investment company and, in this case, neither of this condition is satisfied. So, XYZ Ltd. cannot be an Investment company for the purpose of Section 186.

(ii) As per section 186 (5) of the Companies Act, 2013, no investment shall be made or loan or guarantee or security given by the company, unless the resolution sanctioning it is passed at a meeting of the Board with the consent of all the directors present at the meeting and the prior approval of the public financial institution concerned where any term loan is subsisting. is obtained. So, in this case the Board of Directors of XYZ Ltd. while considering the proposal for making the investment in ABC Ltd. has not complied with the provision of section 186(5) of the Companies Act, 2013, where the consent of all the directors present at the meeting is required. The resolution of the board of directors therefore is not valid and has no legal effect.

Question 3 (C2) (7M) (June 2025 PQ)(MQP Dec 2025 Set 1)

The following is the extract of Balance sheet of XYZ Ltd., as on 31.03.24:

Sl. No.	Particulars	Amount (₹)
(i)	Authorised Capital	100
(ii)	Paid-up Capital	40
(iii)	P & L Account balance	22
(iv)	Share Premium Account	10
(v)	Machinery Revaluation Account	11
(vi)	Secured loan taken from a nationalised bank (at 11% rate of interest	35

The yield of Government security may be taken as under:

Tenure	Yield
1 year	6.5%
2 years	6.7%
3 years	6.9%

ABC Ltd., has approached the company for grant of secured loan for ₹ 40 lakhs for a tenure of 40 months. Can this loan be granted by the Board of Directors at the interest rate of 6.5%?

Will your answer be different, if the loan is for ₹ 45 lakhs?

Answer

According to Section 186(2), No company shall directly or indirectly

a) give any loan to any person or other body corporate

b) give any guarantee or provide security in connection with a loan to any other body corporate or

person and

c) acquire by way of subscription, purchase or otherwise, the securities of any other body corporate,

exceeding 60% of its paid-up share capital, free reserves and securities premium account or 100% of its free reserves and securities premium account, whichever is more.

However, a company can give loans, guarantee & security or make investments above the prescribed limits when it is previously authorised by a special resolution passed in a general meeting.

A loan under this section shall be given at a rate of interest which is not lower than the prevailing yield of one year, 3 year, 5 year or 10 year Government Security closest to the tenor of the loan.

In the Present Case,

Calculation of Eligible Amount

Particulars	Amount (₹)
Authorised Capital	Not Considered
Paid-up Capital	40
P&L Balance (considering a free Reserve)	22
Share Premium Account	10
Machinery Revaluation Reserve	Not Considered
Secured Loan taken from Nationalised bank	Not Relevant
Eligible Amount a) 60% of its paid-up share capital, free reserves and securities premium account = 60% (40+22+10) (or) b) 100% of its free reserves and securities premium account = 100% (22+10) Whichever is higher	a) 43.2 (or) b) 32
Eligible Amount	43.2

In the given Case, the proposed loan amount is ₹ 40 lakhs. Hence, the board of directors can grant the loan quantum of ₹ 40 lakhs. The Tenure is 40 months, which is closest to 3 years, so the government yield is 6.9%. Therefore, board of directors cannot grant the loan at 6.5% interest rate but can grant at 6.9% interest rate.

If the loan amount is ₹ 45 lakhs, the board can grant such loan by taking prior approval by means of a special resolution passed in the general meeting.

Question 4 (C2) (SM)

Which companies are exempt from the provisions with regard to inter-company investments/loans?

Answer

Non-Applicability of Section 186,

a) to any loan made, any guarantee given or any security provided or any investment:

i) made by a banking company, or an insurance company, or a housing finance company in the ordinary course of its business; or

ii) made by a company established with the object of and engaged in the business of financing industrial enterprises, or of providing infrastructural facilities ;

b) to any investment:

i) made by an investment company;

ii) made in shares allotted or in shares allotted in pursuance of rights issues made by a body corporate;

iii) made, in respect of investment or lending activities, by NBFC whose principal business is acquisition of securities.

Question 5 (C3) (7M) (June 2024 PQ) (June 2025 PQ)

Should investments of a limited company be held in its name only? State the requirements of the Companies Act, 2013 in this regard.

(or)

Examine whether investments made or held by a company must be in its own name. Elucidate the exemptions, if any, enshrined in Section 187 of the Companies Act, 2013.

Answer

According to Section 187 of the Companies Act, 2013,

a) All investments made or held by a company in any property, security or other asset shall be made and held by it in its own name.

b) Provided the company may hold any shares in its subsidiary company in the name of any nominee or nominees of the company, if it is necessary to do so, to ensure that the number of members of the subsidiary company is not reduced below the statutory limit.

c) Nothing in this Section shall be deemed to prevent a company:

(i) from depositing with a bank, any shares or securities for the collection of any dividend or interest payable thereon.

(ii) from depositing with or holding in the name of, the State Bank of India or a scheduled bank, being the bankers of the company, shares or securities, to facilitate the transfer.

(iii) from depositing with or transferring to, any person any shares or securities, by way of security for the repayment of any loan.

(iv) from holding investments in the name of a depository when such investments are in the form of securities held by the company as a beneficial owner.

d) Where any shares or securities in which investments have been made by a company are not held by it in its own name, the company shall maintain a register which shall contain such particulars and such register shall be open to inspection by any member or debenture-holder of the company without any charge during business hours.

Question 6 (C5) (7M) (Dec 2023 PQ) (MQP Dec 2024 Set 2) (SM)

Is there any provision for Prohibition on Acceptance of Deposits from Public exist in Companies Act, 2013? If so, analyse the provision.

(or)

Explain the provisions has to prohibition on Acceptance of Deposits from the Public Under Section 73 of the Companies Act, 2013.

Answer

According to Section 73 of the Companies Act, 2013,

a) No company can invite, accept or renew deposits under this Act from the public except in a manner provided under Chapter V.

b) Provided that nothing in this section shall apply to a banking company and non-banking financial company and to such other companies as the Central Government may, after consultation with the Reserve Bank of India, specify.

c) A company may, with the mandate of a resolution in general meeting and subject to such rules as may be prescribed accept deposits from its members, subject to the fulfilment of the following conditions, namely

   (i) Issuance of a circular to its members, which shall include,
   - a statement showing the financial position of the company.
   - the credit rating obtained.
   - the total number of depositors
   - the amount due towards deposits and
   - such other particulars as may be prescribed.

   (ii) filing a copy of the circular along with such statement with the Registrar within 30 days before the date of issue of the circular

   (iii) depositing on or before 30th April each year such sum which shall not be less than 20% of the amount of its deposits maturing during the following financial year and kept in a scheduled bank in a separate bank account to be called as Deposit Repayment Reserve (DRR) account.

   (iv) The DRR account shall not be used by the company for any purpose other than repayment of deposits.

   (v) Certifying that the company has not committed any default in the repayment of deposits accepted or payment of interest on such deposits, and where the default has occurred, the company has made good the default and 5 years have elapsed since then.

   (vi) Providing security, if any, for the due repayment of the amount of deposit or the interest thereon including the creation of such charge on the property or assets of the company.

d) Every deposit accepted by a company shall be repaid with interest in accordance with the terms and conditions of the agreement. Where a company fails to repay the deposit or any interest, the depositor concerned may apply to the Tribunal.

According to Section 76, Only "Eligible company" can accept deposits from public : means a

a) public limited company
b) with net worth minimum ₹ 100 crores or a turnover of minimum ₹ 500 crores
c) have consent of shareholders through special resolution to accept public deposits.
d) The special resolution has been filed with the registrar.
e) Later on an ordinary resolution is enough for acceptance of deposits.

No eligible company shall accept or renew:

a) any deposit from its members exceeding 10% of paid-up share capital, Free reserves and security premium of the company.
b) any other deposit exceeding 25% paid-up share capital, Free reserves and security premium of the company.

Question 7 (7M) (June 2025 PQ)

M/s Pearson Ltd., a public limited company engaged in manufacturing of steel pipes, has the following financial figures as per its latest audited financial statements:

Particulars	Amount (₹ Cr)
Paid-up Equity Share Capital	100
General Reserve	20
Securities Premium	5
Term Loan from SBI	75
Turnover	575

The company proposes to invite public deposits of different tenures ranging from three months to 36 months.

Answer the following:

(i) Is the company eligible to invite public deposits?
(ii) What is the limit for acceptance of deposits from the public? Can it accept deposits for less than six months?
(iii) How much can the company accept as deposits from its members?
(iv) How much can it accept from public and members together?

Answer

(i) As per Section 76(1) of the Companies Act, 2013, only an "eligible company" (a certain class of public companies) can invite deposits from the public.

A public company is eligible to invite public deposits if it satisfies all of the following conditions:

1) Net worth of not less than ₹100 crore, or
2) Turnover of not less than ₹500 crore, and
3) Has obtained prior consent of shareholders in a general meeting by special resolution, and
4) Has filed the said resolution with the Registrar of Companies, and
5) Has obtained a credit rating and complied with the prescribed rules under the Companies (Acceptance of Deposits) Rules, 2014.

Application to the given case:

• Net worth = ₹100 + ₹20 + ₹5 = ₹125 crore. Fulfilled.
• Turnover = ₹575 crore Fulfilled.

Hence, the company qualifies as an "eligible public company" under Section 76.

Conclusion: M/s Pearson Ltd is eligible to invite public deposits, subject to compliance with all procedural requirements.

(ii) Under Rule 3(1) of the Companies (Acceptance of Deposits) Rules, 2014:
   a) No company shall accept or renew any deposit repayable on demand or for a period of less than 6 months or more than 36 months.

b) However, a company may accept deposits for less than 6 months but not less than 3 months, for meeting short- term fund requirements, subject to:

- Such deposits do not exceed 10% of the aggregate of the paid-up share capital, free reserves and securities premium account; and
- Such deposits are repayable not earlier than 3 months.

(iii) As per Rule 3(4) of the Companies (Acceptance of Deposits) Rules, 2014, a public company (whether eligible or not) may accept deposits from its members up to 10% of the aggregate of its paid-up share capital, free reserves and securities premium account.
Computation: (100 + 20 + 5) × 10% = ₹12.5 crore.
Therefore, the Limit from members = ₹12.5 crore

(iv) As per Rule 3(4), an eligible public company may accept:

- Deposits from members up to 10%, and
- Deposits from public up to 25% of the aggregate of paid-up capital, free reserves and securities premium account.

Therefore,

- Total permissible = 35% of (100 + 20 + 5) = 35% of ₹125 crore = ₹43.75 crore.
- Limit from public = ₹31.25 crore (25%)
- Limit from members = ₹12.5 crore (10%)

Question 7 (3M) (June 2018 Old PQ)

ABC Ltd. having a net worth of ₹ 80 crores and turnover of ₹ 30 crores wants to accept deposits from public other than its members. Referring to the provisions of the Companies Act, 2013, state the conditions and the procedures to be followed by ABC Ltd. for accepting deposits from public other than its members.

Answer

According to Section 76 of the Companies Act, 2013, a public company, having net worth of not less than ₹ 100 crore or turnover of not less than ₹ 500 crore, can accept deposits from persons other than its members subject to compliance with the requirements provided in sub- section (2) of section 73 and subject to such rules as the Central Government may, in consultation with the Reserve Bank of India, prescribe.
Provided that such a company shall be required to obtain the credit rating from a recognised credit rating agency for informing the public which ensures adequate safety, and the rating shall be obtained for every year during the tenure of deposits. Provided further that every company accepting secured deposits from the public shall within 30 days of such acceptance, create a charge on its assets of an amount not less than the amount of deposits accepted in favour of the deposit holders. Since, ABC Ltd. has a net worth of ₹ 80 crores and turnover of ₹ 30 crores, which is less than the prescribed limits, hence, it cannot accept deposit from public other than its members. If

the company wants to accept deposits from public other than its members, it has to fulfil the eligibility criteria of net worth or Turnover or both and then the other conditions as stated above.

Additional Questions

Question 1 (SM)(C2)

Discuss the law relating to inter-corporate loans and investments.

Answer

As per the provisions of Section 186 of the Companies Act, 2013,

a) Loan, Guarantee, and Investment Limits: A company cannot:
   - Provide loans, give guarantees, or offer security.
   - Make investments in other companies or bodies corporate exceeding 60% of its paid-up share capital, free reserves, and securities premium or 100% of its free reserves and securities premium, whichever is higher.
   - Exceeding this limit requires prior approval of shareholders via a special resolution.

b) A company cannot invest through more than two layers of investment companies, except in certain prescribed cases.

c) Full particulars of loans, guarantees, and investments must be disclosed in the company's financial statements.

Question 2 (C2) (SM)

What particulars are required to be entered in the Register of Loans and Investments?

Answer

According to Section 186, Every company shall maintain a register containing the particulars of loans, guarantee and security provided by the company and kept at the registered office of the company. Such register shall be open for inspection and extracts can be taken and copies may be furnished to any member on payment of prescribed fees.

Particulars Required in the Register:

a) Details of the Borrower or Investee: Name of the company or person receiving the loan or in whose securities investment is made.

b) Nature of the Transaction: Specify whether it is a loan, guarantee, security, or investment.

c) Amount and Particulars: The quantum of loan given or guarantee/security provided. Number and description of securities acquired.

d) Purpose: The purpose for which the loan or guarantee/security is provided.

e) Tenure and Terms: Duration of the loan, guarantee, or investment. Terms and conditions of repayment or redemption.

f) Date of Resolution: The date of the Board resolution approving the transaction.

g) Rate of Interest: For loans, the interest rate charged.

Question 3 (C?) (MQP Dec 2025 Set 2)

Explain the provisions relating to the appointment of Trustees for Depositors under Rule 7 and the duties of such Trustees as prescribed under Rule 8.

Answer

Appointment of Trustee for Depositors (Rule 7)

1) No eligible company shall issue a circular or advertisement inviting secured deposits unless the company has appointed one or more trustees for depositors for creating security for the deposits.
2) The company shall execute a deposit trust deed in Form DPT-2 at least 7 days before issuing the circular or circular in the form of advertisement.
3) No person including a company that is in the business of providing trusteeship services shall be appointed as a trustee for the depositors, if the proposed trustee (Disqualifications of Trustee):
    a) is a director, KMP or any other officer or an employee of the company or of its holding, subsidiary or associate company or a depositor in the company.
    b) is indebted to the company, or its subsidiary or its holding or associate company or a subsidiary of such holding company.
    c) has any material pecuniary relationship with the company.
    d) has entered into any guarantee arrangement in respect of principal debts secured by the deposits or interest thereon.
    e) is related to any person specified in clause a) above.
4) No trustee for depositors shall be removed from office after the issue of circular or advertisement and before the expiry of his term except with the consent of all the directors present at a meeting of the board.

Duties of Trustees (Rule 8)

It shall be the duty of every trustee for depositors to:

a) ensure that the assets of the company on which charge is created together with the amount of deposit insurance are sufficient to cover the repayment of the principal amount of secured deposits outstanding and interest accrued thereon.
b) satisfy himself that the circular or advertisement inviting deposits does not contain any information which is inconsistent with the terms of the deposit scheme or with the trust deed and is in compliance with the rules and provisions of the Act.
c) ensure that the company does not commit any breach of covenants and provisions of the trust deed.
d) take such reasonable steps as may be necessary to procure a remedy for any breach of covenants of the trust deed or the terms of invitation of deposits.
e) take steps to call a meeting of the holders of depositors as and when such meeting is required to be held.
f) supervise the implementation of the conditions regarding creation of security for deposits and the terms of deposit insurance.
g) do such acts as are necessary in the event the security becomes enforceable.

h) carry out such acts as are necessary for the protection of the interest of depositors and to resolve their grievances.